



MARKET MONITOR

No. 53 – November 2017

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Roundup

Wheat, maize, rice and soybeans are heading for a comfortable market situation in 2017/18. Even for crops where production is forecast to fall below last year's level, supplies are expected to remain sufficient, which may explain some of the downward pressure on prices witnessed in recent weeks. For major cereals, the market focus will soon be shifting to planting and growing conditions in the new season. In this context, the 2018/19 outlook will critically depend on weather and expected returns based on price prospects. In the case of soybeans, planting progress and weather developments in the southern hemisphere will likely influence prices in the coming weeks.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	■	■
Rice	■	■
Soybeans	▲	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production forecast for 2017 raised further this month, following upward revisions for the Russian Federation and Ukraine, but still below last year's record.
- Utilization in 2017/18 to increase more than was anticipated in October, largely due to higher feed use expectations.
- Trade in 2017/18 (July/June) is heading for a lesser contraction from 2016/17 on stronger import demand from Mexico and Nigeria.
- Stocks (ending in 2018) still to rise to a record level globally despite this month's lowering of inventories in several countries.

WHEAT	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	5-Oct	f'cast 2-Nov	est.	f'cast 11-Oct	est.	f'cast 26-Oct
Production	760.2	750.1	752.8	754.2	751.2	754.1	748.5
Supply	982.6	996.4	998.0	995.4	1,007.8	977.9	990.2
Utilization	732.8	734.3	738.2	738.8	739.6	736.1	741.1
Trade	177.4	174.7	175.2	182.5	180.0	175.6	174.2
Stocks	245.2	261.2	258.2	256.6	268.1	241.7	249.2

- **Maize** production in 2017 to reach an all-time high, supported by bumper crops in South America and southern Africa.
- Utilization in 2017/18 raised on expectation of slightly higher feed use, especially in Thailand and the US.
- Trade in 2017/18 (July/June) to hit a new high, up 3 percent from the previous season's record, sustained by stronger demand from the EU, Mexico and several Asian countries.
- Stocks (ending in 2018) to remain steady with build-ups in South America and Africa offsetting drawdowns in Asia and Europe.

MAIZE	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	5-Oct	f'cast 2-Nov	est.	f'cast 11-Oct	est.	f'cast 26-Oct
Production	1,040.7	1,064.5	1,063.6	1,075.3	1,038.8	1,079.5	1,034.3
Supply	1,266.3	1,300.1	1,299.8	1,289.3	1,265.8	1,289.0	1,269.3
Utilization	1,034.6	1,055.2	1,056.1	1,062.3	1,064.8	1,054.0	1,066.7
Trade	139.8	143.0	143.9	163.8	150.7	138.0	148.5
Stocks	236.2	236.6	236.7	227.0	201.0	235.0	202.6

- **Rice** production forecast fractionally changed, as an upward adjustment for Pakistan is largely outweighed by reductions for the Republic of Korea and Japan.
- Utilization in 2017/18 still forecast to grow by 1.1 percent from last season, sustaining a marginal increase in global per capita food use to 53.8 kilos.
- Trade in 2018 still pointing to a modest expansion, with import growth expected to concentrate in Asia.
- Stocks (ending in 2018) downgraded somewhat, mostly on lower expected carryovers in the Republic of Korea.

RICE (milled)	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	5-Oct	f'cast 2-Nov	est.	f'cast 11-Oct	est.	f'cast 26-Oct
Production	501.0	500.7	500.8	487.1	483.8	485.5	481.8
Supply	667.4	669.3	669.3	619.2	622.0	606.2	604.7
Utilization	497.8	502.9	503.2	481.0	480.5	484.6	486.6
Trade	45.0	45.2	45.4	44.6	44.2	42.9	43.2
Stocks	168.5	169.5	169.2	138.2	141.5	122.9	120.2

- **Soybean** 2017/18 global production forecast virtually unchanged, with upward adjustments in Canada, China and the EU offsetting downward revisions for Brazil and India.
- Utilization in 2017/18 adjusted marginally downwards, confirming a growth rate well below the 5-year average.
- Trade in 2017/18 revised slightly upwards, with higher export forecasts for Canada matched by larger expected purchases in Asia, particularly China.
- Stocks (2017/18 carry-out) raised slightly, with downward revisions in Brazil and the US more than offset by higher forecasts for China and Argentina.

SOYBEANS	FAO-AMIS			USDA		IGC	
	2016/17	2017/18		2016/17	2017/18	2016/17	2017/18
	est.	5-Oct	f'cast 2-Nov	est.	f'cast 11-Oct	est.	f'cast 26-Oct
Production	348.7	346.4	346.3	351.3	347.9	350.0	347.9
Supply	393.1	399.1	397.6	429.0	442.7	381.4	391.2
Utilization	340.4	350.4	348.8	330.3	344.4	338.3	352.7
Trade	147.6	151.9	152.5	147.5	151.0	145.1	151.0
Stocks	51.3	48.7	49.1	94.9	96.1	43.3	38.6



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	2665	522	3946	495	-3046	-852	823	834	900	170
Total AMIS	2027	502	3201	230	-3650	573	68	935	2100	426
Argentina	-	-	-	-	-	-	-	-	-	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-	-	-	-	-	-	-	2500	-
Canada	-	-	-700	500	-	-	-	-	-	-
China Mainland	-	-300	100	-	-300	-	-	100	-	-300
Egypt	-	-	-100	-	150	-	-	-	-	-
EU	-	-	1100	-100	-1000	-	-	935	-	565
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-142	2	-	-	-138	-456	-	-250	-	-206
Mexico	-	300	150	-	50	-	-	-	-	-
Nigeria	-	500	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	1600	-	3280	-	-2580	-1000	-	-1000	-	-
Saudi Arabia	-	-	50	-	-50	-	100	70	-	30
South Africa	113	-	-103	-170	30	-	-	-600	-	700
Thailand	-	-	-	-	-	-	-	800	-400	-100
Turkey	-	-	100	-	-150	-	-	-	-	-
Ukraine	419	-	140	-	-414	-401	-32	-10	-	-403
US	37	-	-816	-	752	2430	-	890	-	140
Viet Nam	-	-	-	-	-	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	53	230	299	215	-287	-74	660	-1627	600	377
Total AMIS	-196	-10	195	-	-386	-64	600	-1510	600	317
Argentina	-	-	-	-	-	-	100	-850	-	1000
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-	20	-	-	-867	100	-99	-	-668
Canada	-	-	-	-	-	578	-	28	600	135
China Mainland	-	-	-	-	-	540	200	-200	-	940
Egypt	-	-	-	-	-	-	100	70	-	30
EU	-	-30	-20	-	-	107	-	107	-	-
India	-	-	-	-	-	-300	-	-300	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-145	-	-155	-	110	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	60	-50	40	-	-	-	-	-	-	-
Philippines	-	50	10	-	-	-	-	-	-	-
Rep. of Korea	-74	-	376	-	-460	-	-	-	-	-
Russian Fed.	-	20	25	-	-	100	-	-64	-	100
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-100	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	-212	-	-202	-	-10
US	-37	-	-1	-	-36	-10	-	-	-	-1210
Viet Nam	-	-	-	-	-	-	100	-	-	-

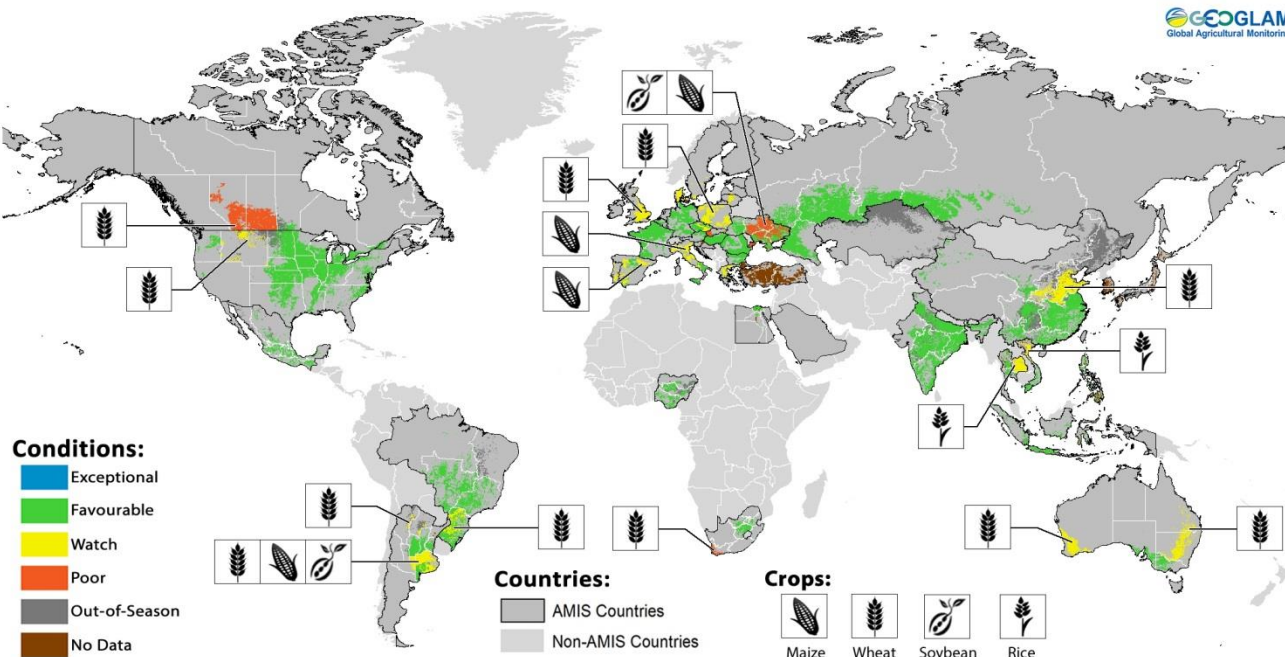


Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 October)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 28 October. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, conditions are generally favourable for winter wheat sowing. Spring wheat harvest in Canada is wrapping up under poor conditions. In the southern hemisphere, conditions remain mixed with adverse weather affecting all major producers.

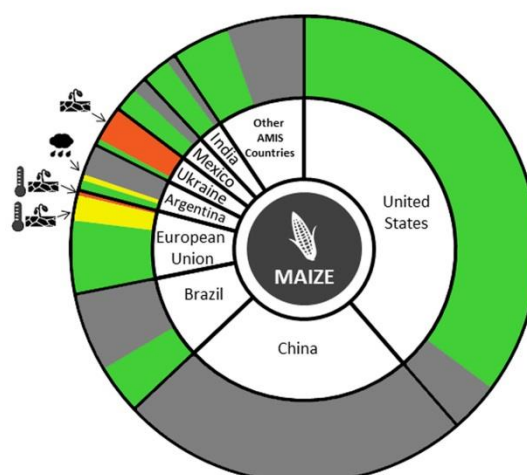
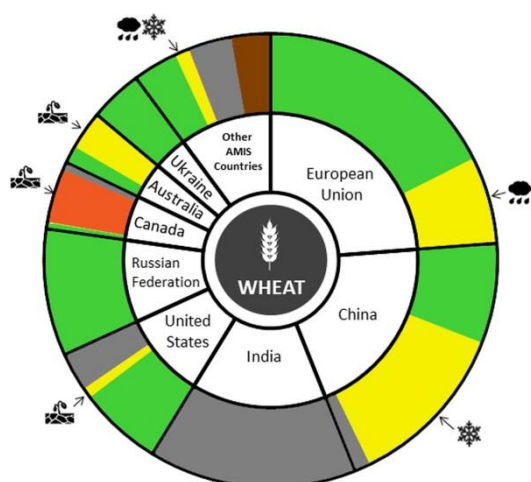
Maize - In the northern hemisphere, conditions remain generally favourable during harvest with increases in expected production in the US and Canada. However, dry weather has adversely affected crop conditions in Ukraine. In the southern hemisphere, conditions are generally favourable for ongoing sowing in Argentina, Brazil, and South Africa.

Rice - In Asia, crop conditions are generally favourable. Harvest of wet-season rice is ongoing except in Indonesia, where dry-season rice is being harvested. The north of Viet Nam and northeast of Thailand have been impacted by heavy rainfall.

Soybean - In the northern hemisphere, conditions are generally favourable with an increase in expected production this year for the US, Canada, and Ukraine. In the southern hemisphere, crop conditions are favourable for Brazil, while sowing begins under mixed conditions in Argentina.

La Niña update

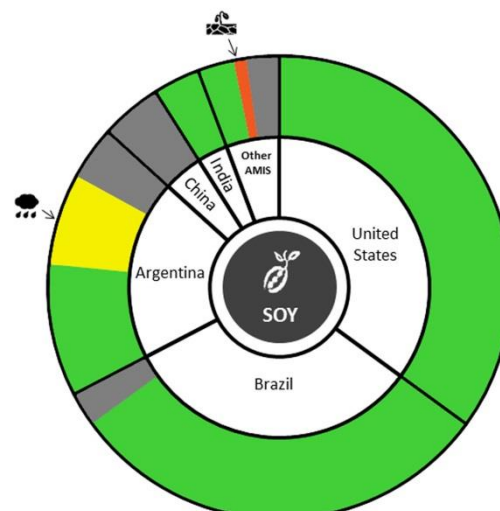
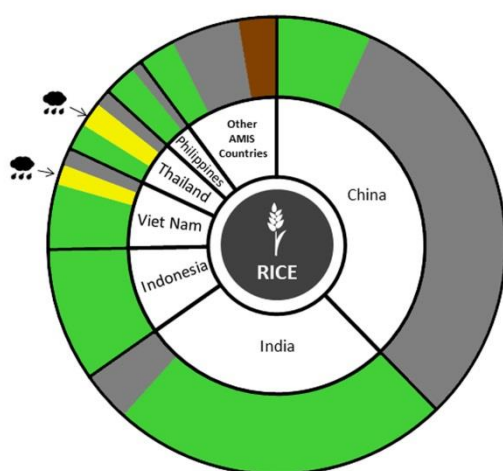
Conditions in the equatorial Pacific Ocean are currently neutral but a La Niña watch has been declared, with the probability of La Niña conditions in the November – February time frame being in the order of 60-65 percent. By comparison, the typical probability during these months is 35 percent. Should La Niña materialize, above normal rains could occur in Central America, the Caribbean, northern South America, Southern Africa, and Southeast Asia. Drier than normal conditions may prevail in southwest Asia, the Horn of Africa, southeastern South America, and the southern US.

Conditions:**Drivers:****Wheat**

In the **EU**, conditions are mixed as excess rainfall in the north hamper sowing of winter wheat. In **Ukraine**, winter wheat sowing is complete under improved weather conditions with only some areas of concern remaining in the south due to continued dry conditions. In the **Russian Federation**, spring wheat harvest finished under favourable conditions. Winter wheat sowing is almost complete under favourable conditions with improvements in soil moisture in the south. In **China**, winter wheat sowing is underway with low temperatures in the Loess region and southwest Huanghuaihai impacting operations. In the **US**, winter wheat sowing continues under favourable conditions, with some minor dryness persisting in the northern plains. In **Canada**, spring wheat harvest is wrapping up under poor conditions with yields expected to be well below average due to dry weather throughout the season in the prairies. Winter wheat planting began under favourable conditions in the main producing province of Ontario, though dry conditions in the prairies could result in some plot losses. In **Australia**, production prospects deteriorated due to unfavourable early spring conditions particularly in New South Wales and Queensland. Timely October rainfall is likely to benefit later sown crops across southern Australia. In **Argentina**, conditions are generally favourable.

Maize

In the **US**, harvest is underway, and very good yields are expected to drive production up to the second highest on record. In **Canada**, conditions are favourable and production is expected to be a record due to increases in area and yield. In **Mexico**, spring-planted crop conditions are favourable as harvest commences in some areas. In the **EU**, conditions are favourable for central and western Europe, offsetting the impact of the drought in southern Europe. In **Ukraine**, harvest wraps up under generally poor conditions due to drought and heat stress during the season in the southern, central, and eastern regions which affected yields. In **India**, harvest continues for the Kharif crop with good prospects. In **Brazil**, sowing of spring-planted maize continues. In the south, the crop is in the vegetative and reproductive stage and in good condition. A reduction in maize area is expected to benefit higher plantings of soybeans. In **Argentina**, favourable conditions continue for sowing in the center of the country with delays in the south due to flooding.

Conditions:**Drivers:****Rice**

In **China**, conditions improved to favourable for late-rice in most parts of Lower Yangtze and southern regions. In **India**, harvest of the Kharif crop continues under generally favourable conditions, with the exception of minor areas in the south that experienced heavy rains. In **Indonesia**, conditions are favourable as harvest of the dry-season rice continues with higher yields than last year. Sowing of wet-season rice has begun. In **Viet Nam**, conditions are mixed in the north due to heavy rainfall from October tropical cyclones. Harvest of wet-season rice began with initial yields slightly higher than last year. In the south, wet-season rice harvest continues under favourable conditions, with yields expected to be slightly below last year's. Sowing of the dry-season crop has begun. In **Thailand**, conditions are generally favourable for wet-season rice except in the northeast due to flood damage and disease outbreaks. In the **Philippines**, conditions are favourable for the wet-season rice planted July-August, which is currently in vegetative to reproductive stage. Heavy rainfall from recent tropical cyclones resulted in no significant damage. In the **US**, conditions continue to be favourable as harvest wraps up.

Soybeans

In the **US**, harvest is well underway with an increase in expected production, owing to favourable conditions and larger planted area. In **Canada**, conditions are favourable, and a record crop is expected, primarily owing to a large increase in planted area. In **India**, harvest continues under favourable conditions for the Kharif crop. In **Ukraine**, the increase in planted area compared to previous seasons will result in good overall production. In **Brazil**, sowing continues in the central part of the country and wraps up in the south, where crops are in vegetative stage and in good condition. An increase in area is expected for this season. In **Argentina**, sowing of spring-planted crop began under mixed conditions as excess soil moisture slows progress in the south.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 2 November 2017

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 10 October, **China** authorized the sale of 2 500 tonnes of imported wheat from state reserves at an average price of CNY 2 564 (USD 387) per tonne.
- On 10 October, the **Russian Federation** announced the selling of 1.5 million tonnes of wheat from state reserves in order to reduce expenditures on maintaining stockpiles.
- On 19 October, the government of **Ukraine** agreed with traders that the maximum volume for wheat exports in July 2017 – June 2018 will be 16.5 million tonnes.
- On 24 October, **India** has announced that it will raise the minimum support price for wheat by 6.8 percent from INR 1 625 per quintal (USD 249.7 per tonne) in 2016/17 to INR 1 735 per quintal (USD 266.6 per tonne) in 2017/18.
- On 24 October, **Brazil's** agriculture ministry requested approval from the country's foreign trade chamber for a duty-free quota of 750 000 tonnes of wheat for local processors to import from outside the Mercosur trade bloc.
- On 27 October, **China** lowered the wheat minimum purchase price for 2018 to CNR 2 300 (USD 345.6) per tonne, a drop of 2.5 percent from this year.

Maize

- The **EU** lowered the maize import duty, effective 10 October, from EUR 10.95 (USD 13.1) to EUR 5.61 (USD 6.07) per tonne, based on the EU Regulation No 642/2010, which defines how maize, sorghum and rye import duties are calculated automatically as the difference between a European reference price and the US maize price.

Rice

- On 10 October, the government of **Indonesia** began selling 75 000 tonnes of medium quality rice from the government reserves in Jakarta, at IDR 8 100 per kg (USD 602 per tonne). The aim is to overcome the scarcity of medium quality rice whose maximum retail price (IDR 9 450 per kg or USD 709 per tonne) and profitability is smaller than for premium quality rice (IDR 12 800 per kg or USD 960 per tonne).
- The government of **Thailand** has announced it will stop selling rice from its stocks during the harvest period in order to avoid depressing domestic market prices.

Across the board

- On 16 October, **China** reduced the subsidy for maize growers in Heilongjiang province to CNY 133.46 per mu (0.067 hectare), which would be around USD 303.2 per hectare, down sharply from CNY 153.92 (USD 342.9 per hectare) last year. The subsidy for soybean was set at CNY 173.46 per mu (USD 390.15 per hectare).
- **China** suspended, from end October 2017, public auctions of old-crop maize and soybeans from state reserves, with a view not to hinder the marketing of the new 2017/18 crop.
- On 26 October, **China** set the 2018 import quota for wheat at 9.64 million tonnes; for maize at 7.2 million tonnes; and for rice at 5.32 million tonnes.

Biofuels

- On 4 October, **Argentina** authorized to increase the price of maize-based ethanol for oil refiners to blend into gasoline to ARS 13,62 (USD 0.8) per litre, 0.4 percent higher than in September.

STOP PRESS

- On 10 September, **Turkey** imposed a requirement that agricultural imports from the Russian Federation receive approval from Turkish authorities, effective from 9 October. Approvals will be sought for nine products, including maize, paddy rice, as well as common and durum wheat.
- On 28 September, the **Republic of Korea** announced the procurement of 720 000 tonnes of rice from 2017 harvest in order to ease pressure on domestic prices amid large supplies. The purchase of rice will be of 350 000 tonnes for state reserves and 370 000 tonnes for price stabilisation.
- On 29 September, **China** announced a cut in maize planting area to around 670 000 hectares, mainly in favour of soybeans production.
- On 30 September, the **EU** increased the quantities of tariff-free agricultural products exported from Ukraine to the EU. The annual common wheat import quota was raised by 16 000 tonnes and by 625 000 tonnes for maize.



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Oct 2017 Average*	% Change	
		M/M	Y/Y
GOI	193	-0.5%	+0.6%
Wheat	175	-0.9%	+10.0%
Maize	163	-0.2%	-10.4%
Rice	165	-1.2%	+12.5%
Soybeans	193	-0.3%	-4.1%

*Jan 2000=100, derived from daily export quotations

Wheat

The IGC GOI wheat sub-Index retreated by about 1 percent, but market movements were mixed in the major export origins. Despite some reports of tightening logistics, shipments from the Black Sea region maintained a solid pace and this saw export prices edge higher in the region. Strong competition for export business weighed on market sentiment in the EU, exacerbated by a firm euro, with shipments significantly lagging the year ago pace. While there were signs of some pickup in demand in the second part of the month, sluggish export progress weighed on US prices, and values also responded to generally bearish fundamentals, including mid-month upward revisions to outlooks for domestic and global stocks. Quotations softened in Australia as late-season rains were seen stabilising production prospects, although the outturn was still expected to be sharply down from the record of the year before.

Maize

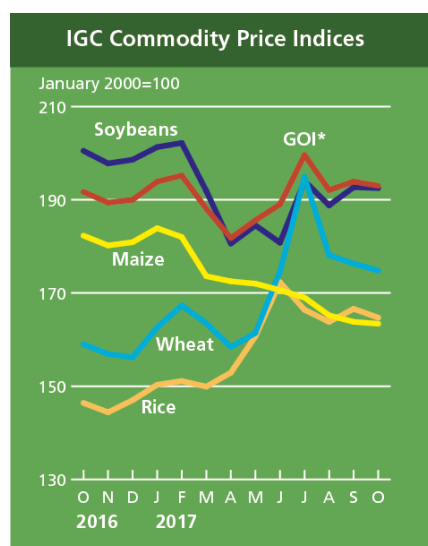
The IGC GOI maize sub-Index dipped in October, for a ninth consecutive month, mostly on a comfortable nearby supply outlook. However, with losses in South America partly countered by modest gains elsewhere, overall prices were down only fractionally. The Brazilian market eased further, as exporters looked for buyers for a massive surplus. Export quotations in the US gained slightly, but there were few changes to the underlying fundamentals. New crop prices in the Black Sea region were lightly underpinned by disappointing yields from the ongoing harvests, with crops in Ukraine and Russia expected to be smaller y/y.

Rice

Amid few fresh developments, Asian markets for white and parboiled grades were generally weaker during October, the IGC GOI rice sub-Index posting a net loss of about 1 percent. Export quotations in Thailand weakened slightly on slower buying interest, in part due to public holidays in Asia, including China, while values in India were also weaker. In contrast, broken rice markets in Vietnam exhibited a firmer tone as tightening old crop supplies and good underlying export interest underpinned. Elsewhere, US milled rice fob values eased marginally, but they were still significantly higher y/y, linked to the smallest domestic outturn in more than two decades.

Soybeans

While seasonal harvest pressure weighed on US values in October, offers in Brazil posted marginal gains and, together with a fractional drop in prices in Argentina, the IGC GOI soybeans sub-Index was broadly steady m/m. After initially progressing slowly, combining across the US advanced quickly in the second half of the month, putting pressure on values. In South America, quotations in Brazil were marginally firmer on sluggish farmer sales and dryness-related seeding delays in core producing areas, including Mato Grosso. In addition, concerns about heavy rains in southern parts offered mild support. In Argentina, where planting got underway, export values weakened, but losses were capped by concerns about earlier wet conditions.



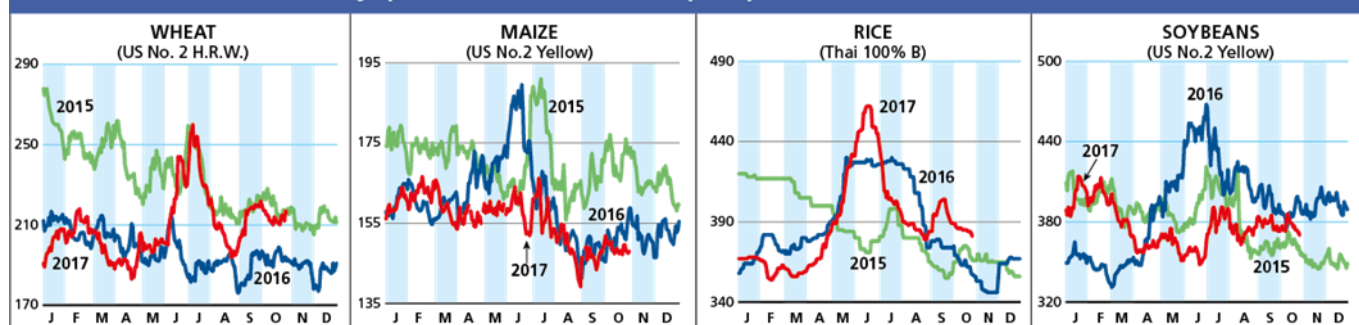
*GOI: Grains and Oilseeds Index

IGC commodity price indices

		GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100) (.....)						
2016	October	191.7	159.0	182.3	146.4	200.5
	November	189.4	156.9	180.2	144.4	197.8
	December	190.0	156.2	180.9	147.0	198.6
2017	January	193.9	162.6	183.9	150.3	201.3
	February	195.2	167.3	182.0	151.1	202.2
	March	188.1	163.5	173.6	149.9	191.9
	April	181.8	158.4	172.5	152.9	180.6
	May	185.6	161.4	172.0	160.7	184.5
	June	189.0	174.6	170.6	172.3	180.8
	July	199.6	194.9	169.0	166.4	194.0
	August	192.1	178.1	165.2	163.8	188.8
	September	193.9	176.3	163.8	166.6	192.7
	October	193.0	174.8	163.4	164.7	192.5

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)

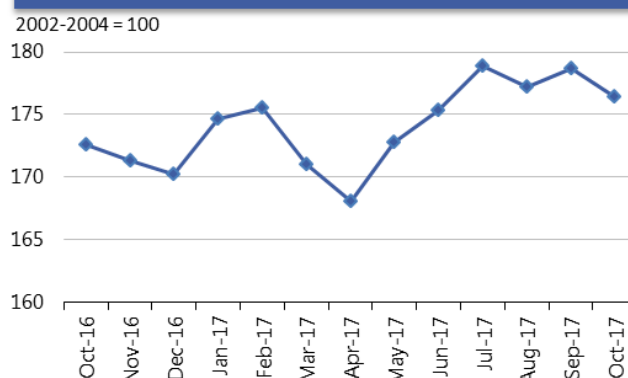
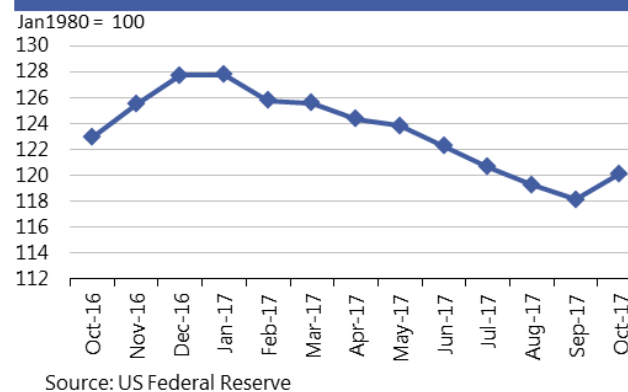


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	30-Oct	216	214	218	193	0.9%	11.9%
Maize (US No. 2, Yellow)	30-Oct	148	150	152	159	-0.9%	-6.7%
Rice (Thai 100% B)	30-Oct	381	385	392	353	-1.0%	7.9%
Soybeans (US No.2, Yellow)	30-Oct	370	377	377	395	-1.9%	-6.3%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	October 2017 Average	Monthly Change	Annual Change
Argentina	ARS	17.4	-1.2%	-14.9%
Australia	AUD	1.3	-2.3%	2.2%
Brazil	BRL	3.2	-1.9%	-0.3%
Canada	CAD	1.3	-2.5%	4.9%
China	CNY	6.6	-0.9%	1.5%
Egypt	EGP	17.6	0.0%	-98.4%
EU	EUR	0.9	-1.3%	6.2%
India	INR	65.0	-0.9%	2.5%
Indonesia	IDR	13,525.5	-1.7%	-3.9%
Japan	JPY	112.9	-1.9%	-8.7%
Kazakhstan	KZT	336.8	0.8%	-1.4%
Rep. Korea	KRW	1,132.4	0.0%	-0.5%
Mexico	MXN	18.8	-5.6%	0.3%
Nigeria	NGN	307.5	0.4%	-0.8%
Philippines	PHP	51.4	-0.9%	-6.4%
Russian Fed.	RUB	57.7	-0.1%	7.7%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	13.7	-4.0%	1.6%
Thailand	THB	33.2	-0.2%	5.2%
Turkey	TRY	3.7	-5.9%	-19.7%
UK	GBP	0.8	-0.9%	6.6%
Ukraine	UAH	26.6	-1.8%	-3.6%
Viet Nam	VND	22,715.3	0.0%	-2.0%

FAO Food Price Index
Oct2016-Oct2017Nominal Broad Dollar Index
Oct2016-Oct2017

Futures markets

Futures Prices – nearby

	Oct-17 Average	% Change	
		M/M	Y/Y
Wheat	160	-0.5%	+6.3%
Maize	138	+0.4%	0.0%
Rice	262	-4.5%	+17.2%
Soybeans	358	+1.2%	0.0%

Source: CME

Futures prices

Prices for wheat, maize and soybeans were mostly unchanged m/m as domestic and global crop supplies remained ample for the projected demand, even as harvest delays were reported in the US. In wheat, shortfalls in some regions such as Australia were counterbalanced in other areas, particularly the Black Sea region. In maize and soybeans, the market largely shrugged off a rainy spring planting season in Brazil and Argentina where planting progress was somewhat delayed. The US dollar, which had been in a two-year downtrend until September 2017, seemed to have steadied recently as well as the price of crude oil which has been trading in the USD 50 range for most of the month. Wheat values were 6.3 percent higher respectively y/y, while maize and soybean prices were essentially unchanged. Rice prices, which surged 40 percent between April and September, were 17.2 percent higher y/y but declined over 4.5 percent m/m possibly confirming the end of its bull market.

Volumes and volatility

Trade volumes rose marginally for wheat and maize m/m and about 40 percent for soybeans. Both historical and implied volatility declined for the second successive month for all three commodities to the lower end of their historical ranges.

Basis levels and transport

Basis levels for maize and soybeans, which have remained soft in the interior for the entire past crop year, appeared steady. In Illinois, the interior bids to local elevators were quoted minus USD 13 (per tonne) under the December futures for maize and USD 14 under the November futures prices for soybeans. In Iowa, the bids were similarly steady to higher at minus USD 18 for maize and minus USD 29 for soybeans (both under the respective December and November futures). Domestic soft red wheat values were thinly quoted beneath the futures price for delivery to the northern mills. Basis levels for Gulf export delivery for maize and soybeans were weak at USD 10 and USD 9 over their respective nearby futures. Barge freight, which experienced a

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Oct-17	Sep-17	Oct-16
Wheat	23.1	27.2	30.0
Maize	17.1	22.6	24.7
Rice	18.4	16.3	22.2
Soybeans	13.7	16.0	18.9

30 percent spike to USD 22 (Illinois River to Gulf quotation) during September, had relaxed somewhat following replenishing rains and was 33 percent below the three year average. Exports and export commitments for all three commodities lagged behind last year's record pace. Maize in particular showed disappointing numbers with cumulative shipments (as of 1 September, the start of the crop year) and outstanding commitments at 20 million tonnes versus 31 million tonnes last year.

Forward curves

Forward curves for wheat, maize and soybean remained in the same configurations of seasonally wide carries as prices moved little m/m. Producer selling, as evidenced by low basis numbers, has kept pressure on the front end of these curves.

Investment flows

Managed money continued its bear strategy in wheat and maize for the third month in a row by maintaining its net short positions, while keeping a modest net long position in soybeans. Commercials were again the natural short hedgers as they bought harvest-time quantities from the producers. All in all, trading strategies were unremarkable compared to past months of the calendar year. However, since about half of the trade volume is executed by algorithmic programmes, these strategies have become largely opaque and may include sophisticated portfolio balancing and cross market arbitrage.

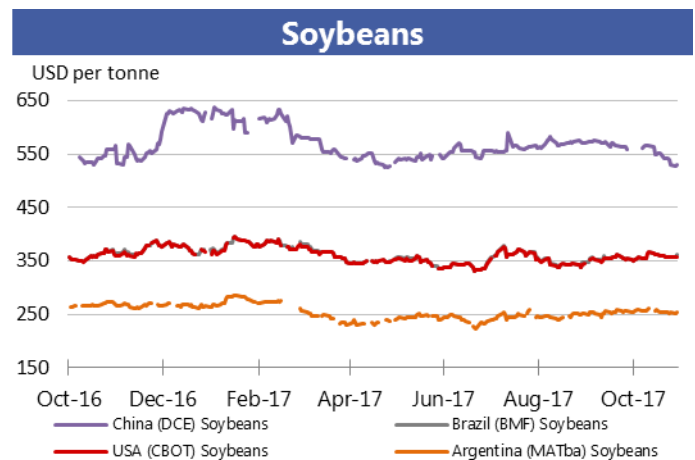
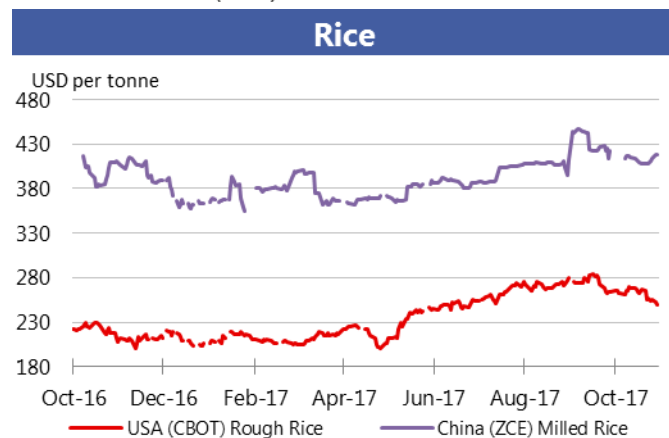
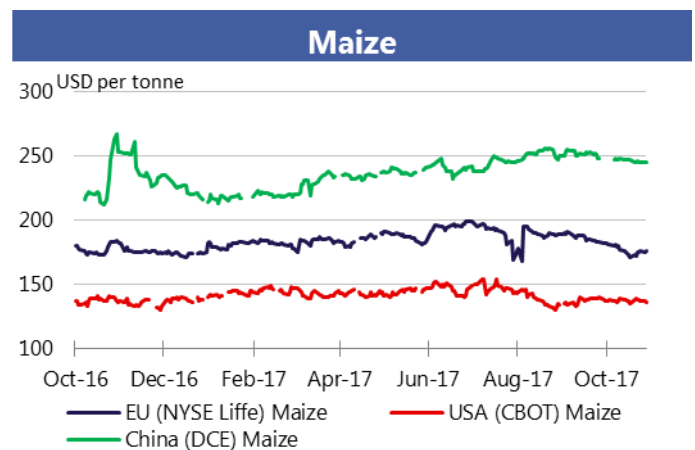
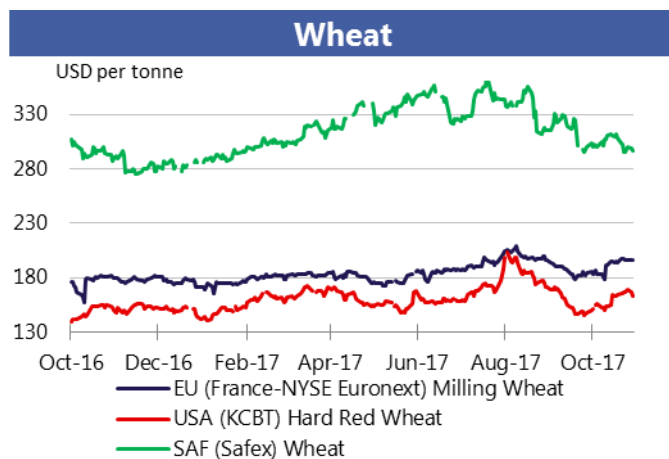
Glossary

For more information on technical terms please view the Glossary at the following link:

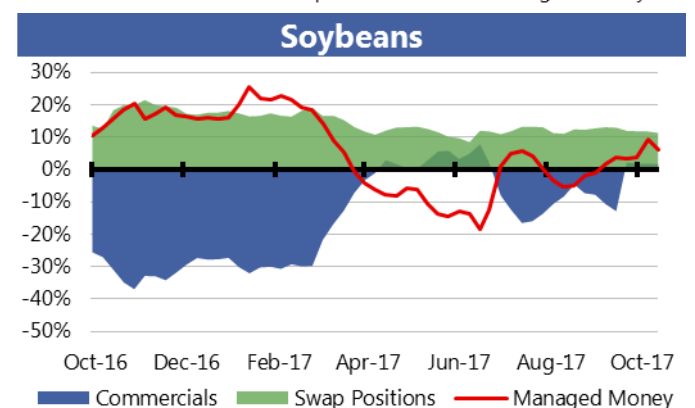
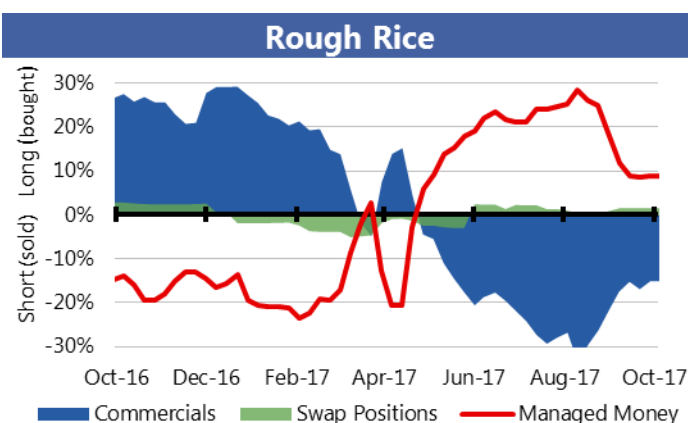
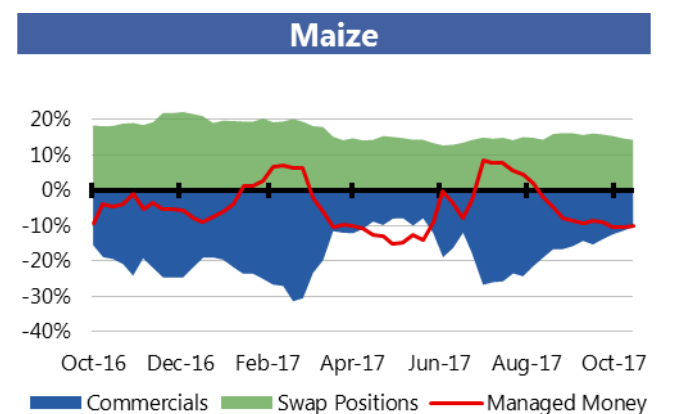
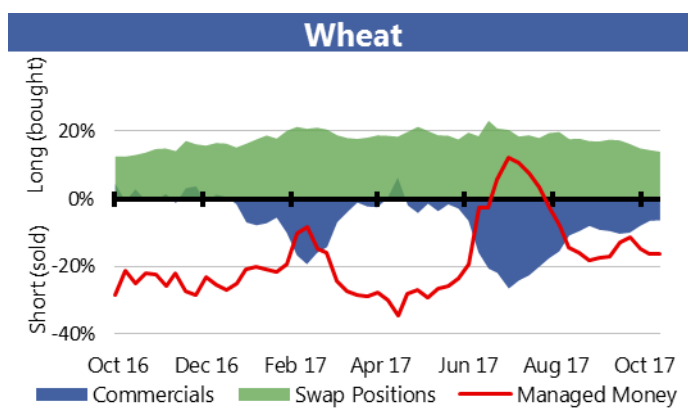
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

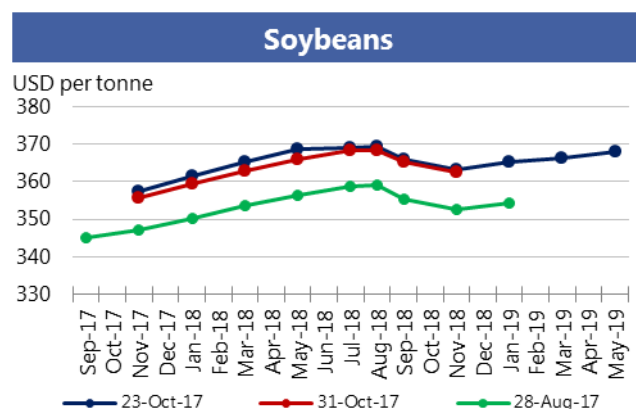
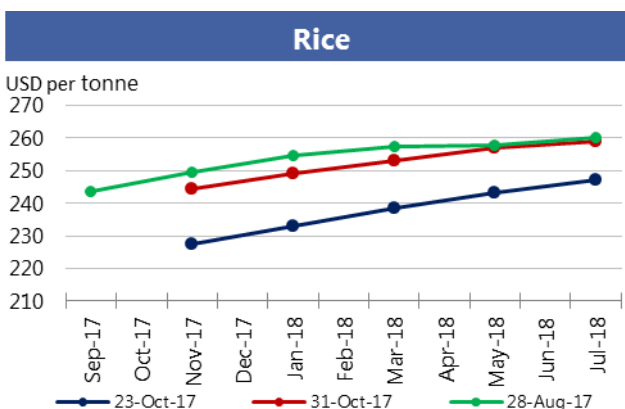
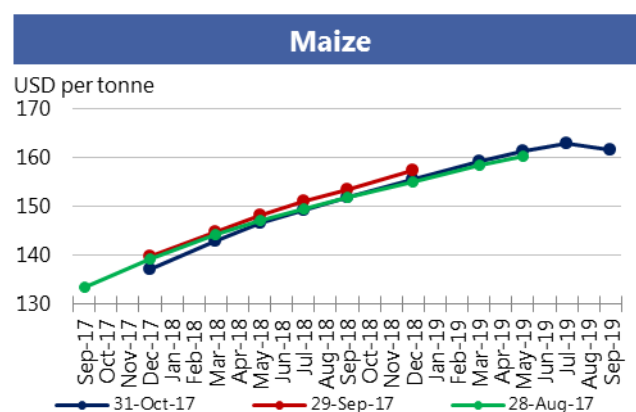
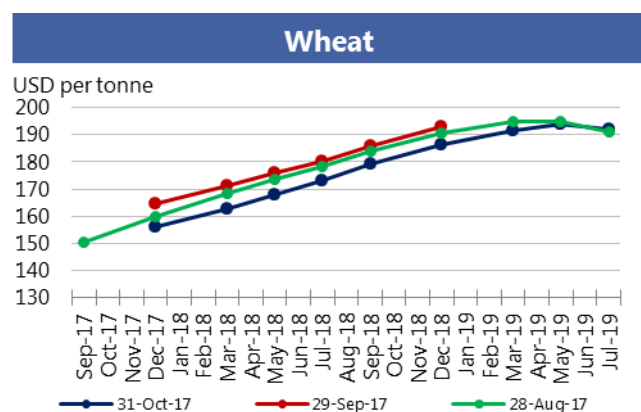


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

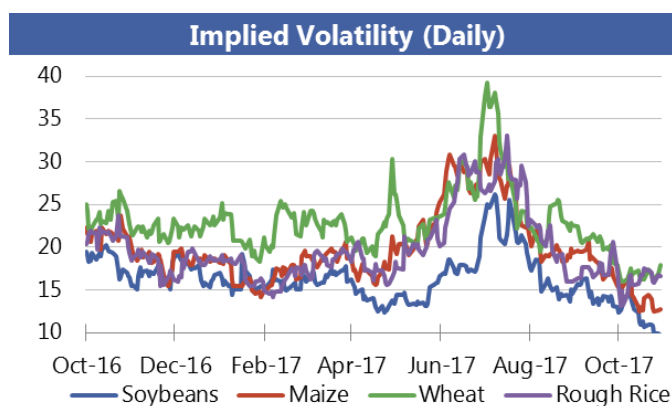
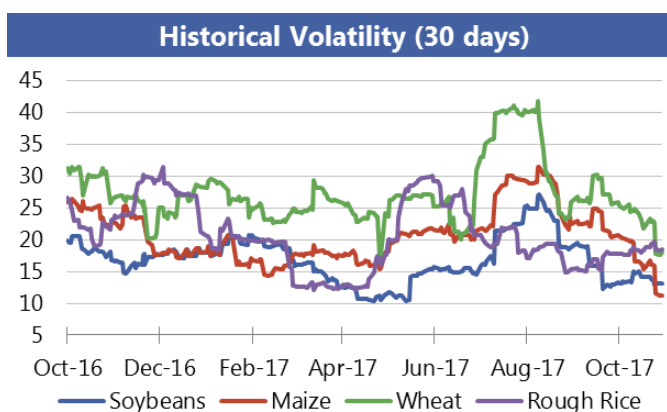


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Monthly US ethanol update

- **Ethanol margins** decreased in October, with lower receipts.
- **Ethanol spot and nearby futures prices** fell in October, as did RBOB gasoline prices, normalizing after refineries recovered from Hurricane Harvey. Ethanol futures prices averaged 19 cents lower than gasoline.
- **Domestic maize prices** decreased during the month, leaving the average maize price USD 1.12 per tonne lower in October. Lower maize costs were offset by lower receipts for Ethanol, decreasing production margins.
- **DDGs prices** increased USD 5.51 per tonne.
- **Ethanol production** increased in October, with an annual pace of 15.4 billion gallons.

Spot prices	Oct 2017*	Sep 2017	Oct 2016
IA, NE and IL/eastern corn belt average			
Maize price (USD per tonne)	126.85	127.97	126.55
DDGs (USD per tonne)	113.17	107.66	109.88
Ethanol price (USD per gallon)	1.37	1.51	1.55

Nearby futures prices			
CME, NYSE			
Ethanol (USD per gallon)	1.42	1.54	1.57
RBOB Gasoline (USD per gallon)	1.61	1.67	1.49
Ethanol/RBOB price ratio	87.9%	92.0%	105.6%

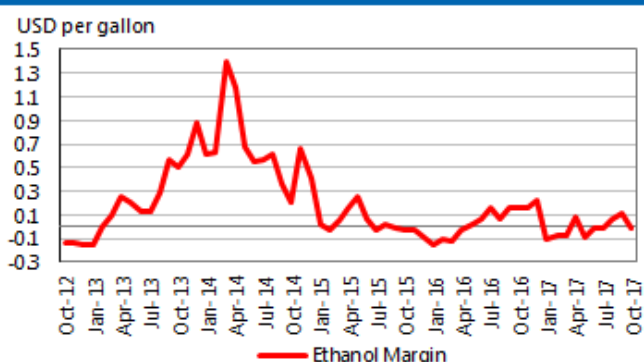
Ethanol margins			
IA, NE and IL/eastern corn belt			
Average (USD per gallon)			
Ethanol receipts	1.37	1.51	1.55
DDGs receipts	0.35	0.33	0.34
Maize costs	1.17	1.18	1.17
Other costs	0.55	0.55	0.55
Production margin	0.00	0.11	0.17

Ethanol production			
(million gallons)			
Monthly production total	1 306	1 297	1 293
Annualized production pace	15 378	15 780	15 230

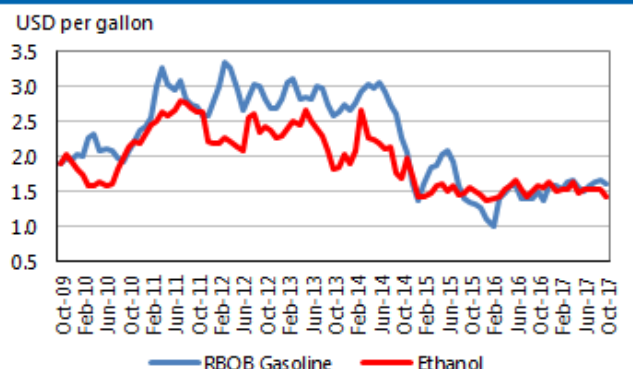
Based on USDA data and private sources

* Estimated using available weekly data to date.

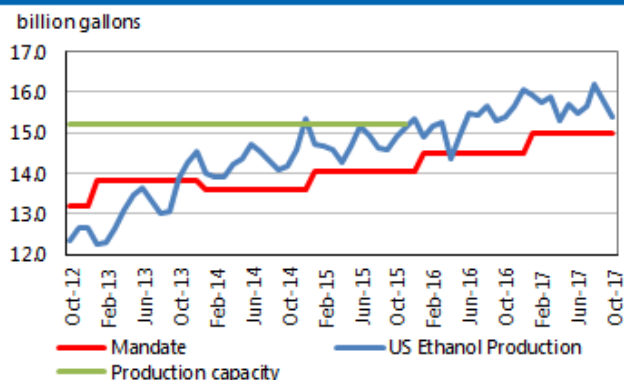
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

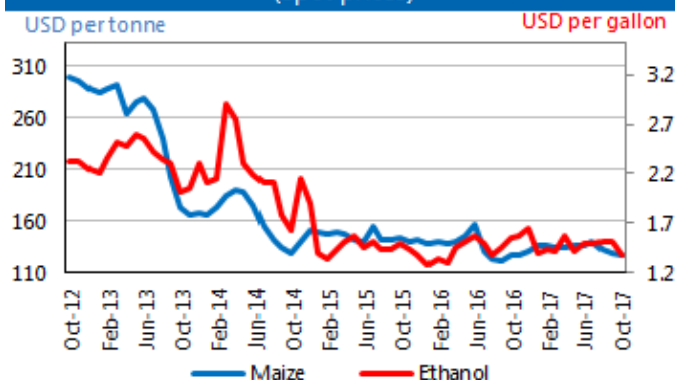


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

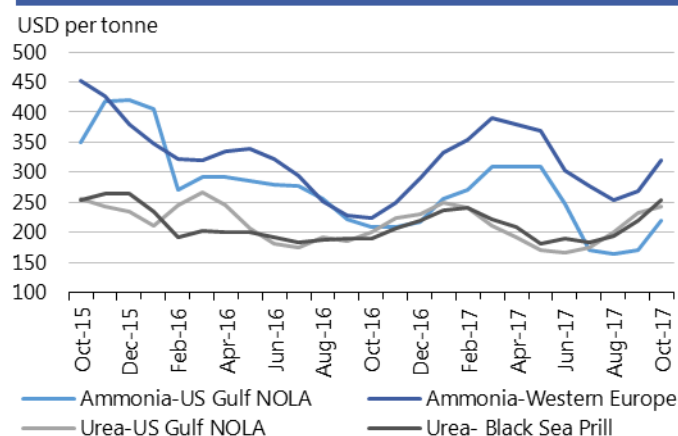
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

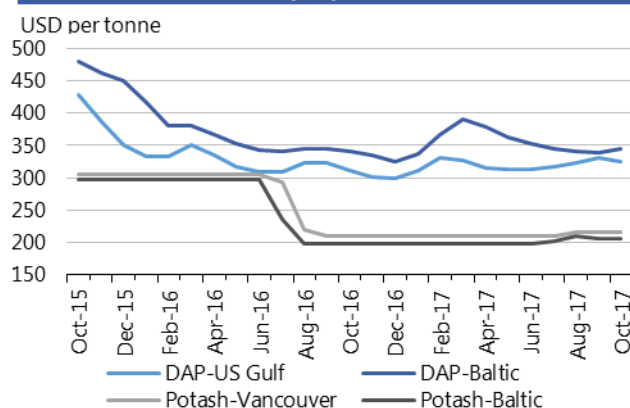
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

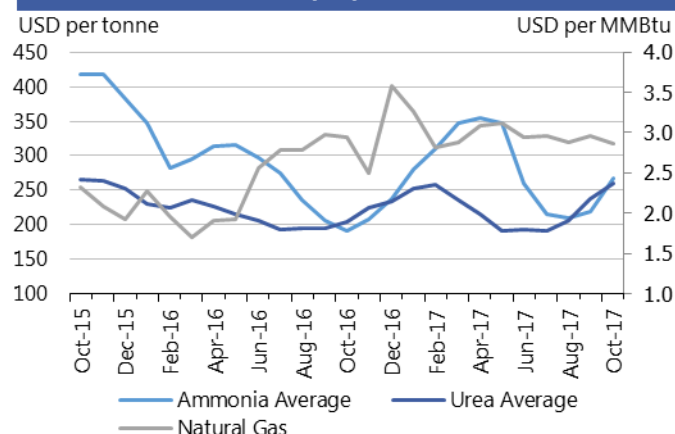
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- Average **ammonia** prices rose m/m due to a lower supply from major exporters in Asia and the Middle East.
- **Urea** prices rose m/m due to stronger demand from Brazil and lower exports from China.
- **DAP** prices have remained stable m/m.
- **Potash** prices remained stable with the US demand steady throughout the fall season.
- **Natural gas** prices decreased m/m due to excess supply in the US.

Region	October average	October std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	220.0	26.0	29.4%	4.8%	310.0	165.0
Ammonia-Western Europe	320.0	34.6	19.4%	42.2%	390.0	250.0
Urea-US Gulf	243.3	11.5	4.9%	21.1%	249.8	166.8
Urea-Black Sea	255.0	-	15.7%	34.2%	255.0	181.3
DAP-US Gulf	325.3	0.6	-1.6%	4.5%	331.8	300.0
DAP-Baltic	345.0	-	1.8%	1.1%	390.0	325.0
Potash-Baltic	206.0	-	0.0%	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	3.3%	216.0	209.0
Ammonia	267.5	23.8	21.7%	39.9%	355.6	208.6
Urea	260.1	2.9	9.5%	28.0%	260.1	192.0
Natural Gas	2.9	0.1	-3.4%	-3.0%	3.6	2.5

All prices shown are in US dollars

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. **Natural Gas:** Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **“World Supply and Demand”** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **“FAO-AMIS”**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2017 AMIS Market Monitor Release Dates

February 2, March 2, April 6, May 4, June 8, July 6, September 7, October 5, November 2, December 7

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